



Let's Get to Work: Federal Policies Creating Opportunities to Expand Competitive Integrated Employment

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What Is the Vision of a System For People with Disabilities?

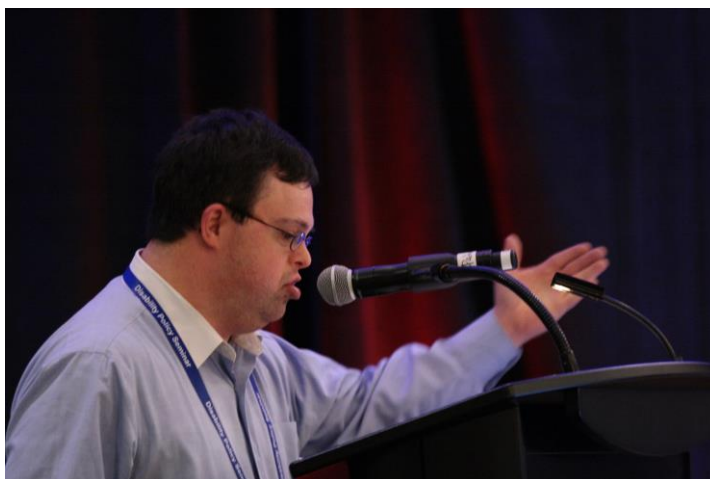
- Support people with disabilities to have **lives like people without disabilities**
- Provide opportunities for **true integration, independence, choice, and self-determination in all aspects of life** – where people live, spend their days, and community membership
- Ensure **quality services and supports** that meet people's needs and help them achieve goals they have identified through real person-centered planning

Employment is Critical To Meeting Our System Goals

- Supporting people with disabilities to work in integrated employment in the community is critical to:
 - Helping people with disabilities access the greater community;
 - Facilitating relationships with people without disabilities;
 - Building new skills and self-esteem;
 - Helping bring people with disabilities out of poverty;
 - Reducing utilization of other Medicaid services; and
 - Providing meaningful ways for people to spend their days.
- Good systems make sure employment is the centerpiece of how they think about all other day services

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Role of Employment in Evan's life



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Skills and Relationships In the Workplace



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Relationships with Co-workers Outside the Workplace



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Work Helps People Afford to Live Independently



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Work Helps People Afford a Social Life



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Work Builds Self Advocacy Skills



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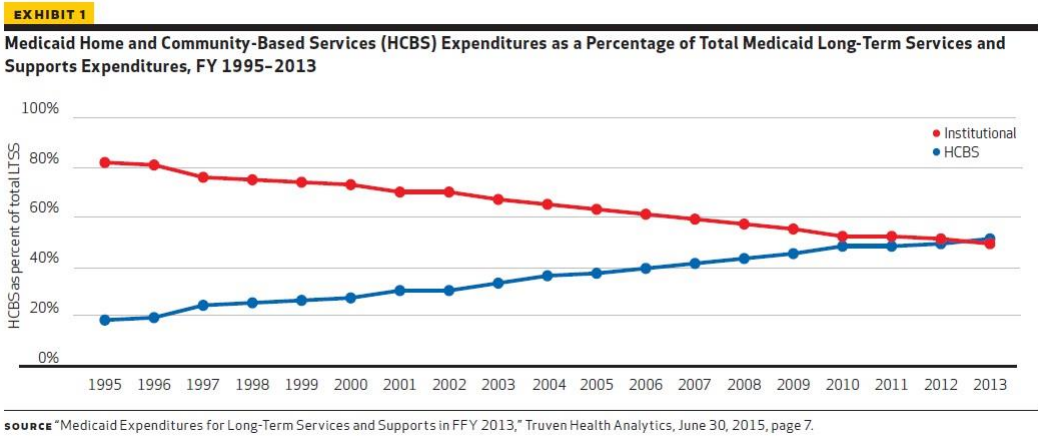
So Where Are We On Employment???

Barkoff

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National HCBS vs Institutional Spending

Note: 54% on HCBS cross-disability, but 75% for IDD systems



Transformation of States’ Residential System

- Most states have already begun transforming their residential service systems (although there is still work to do):
 - 14 states have no publicly operated ICFs, numerous more with only one; 15 states have no private ICFs
 - Majority (77%) of people with DD are living in small settings (less than 4 people) in the community
 - Their family home (56%), own home (11%), host home (5%), or small group home (5%)
 - But too many people still remain in larger, congregate settings:
 - 4-6 person group homes (12%), 7-15 person congregate settings (5%), and 16+ person institutions (6%).

Current State of Day Service Systems

- Many states have “Employment First” policies (on paper) or initiatives. YET
- Only 19% of people receiving IDD day services receiving integrated employment services
 - This is DOWN from a peak of 25% in 2001
 - For those working, it is often for very limited number of hours
- Only about 11% of state IDD funding for day services goes towards competitive integrated employment; the remainder largely goes to congregate, facility-based day programs

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The Opportunity for Change is Now

States should be seriously focusing on increasing opportunities for competitive integrated employment through implementation of:

- HCBS Settings Rule
- *Olmstead*
- Workforce Innovation and Opportunity Act (WIOA)

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Opening Discussion Questions

- How can you align all of these policies and best leverage them in your state to increase opportunities for competitive integrated employment?
- Are any of your states thinking about all of these policies holistically? What strategies are you using?

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CMS' HCBS SETTINGS RULE

Context for the HCBS Settings Rule

- Concerns about segregation and isolation in “community” settings
 - Historically the service system was divided between traditional intuitions and everything else was considered community
 - Over time, it became clear that some “community” settings had similar qualities to traditional institutions
- Changing best practices in services
 - Early community models were almost exclusively congregate and facility-based, like group homes and day habilitation programs
 - Services moving toward more integrated and individualized models, like living in one’s own home or competitive integrated employment

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Context for the HCBS Settings Rule (cont’d)

- ADA and *Olmstead* enforcement
 - The integration mandate of the Americans with Disabilities Act, as interpreted by the Supreme Court in its *Olmstead* decision, prohibits the unnecessary segregation of people with disabilities and requires public entities to provide opportunities for people with disabilities to live, work and receive services in the “most integrated setting”
 - *Olmstead* enforcement has expanded over time from segregation in traditional institutions to other types of residential and non-residential segregation, *including settings that are funded by HCBS funding streams*
 - The HCBS settings rule reflects an attempt to better align the ADA and *Olmstead* with HCBS funding

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Context for the HCBS Settings Rule (cont'd)

- Extensive public input
 - The HCBS settings rule went through multiple rounds of proposed rulemaking to get public comments
 - Thousands of comments informed the final HCBS settings rule
 - Rule morphed from being solely based on size (like MFP) or geographic location to one about individual experiences and community integration
 - Over the course of rulemaking, the rule became clearer that it was about defining community for all HCBS settings, not just residential

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Opportunities Created by the HCBS Settings Rule

- Expand capacity of more integrated and individualized services
 - Including competitive integrated employment
- Move state systems away from outdated, segregated service models
 - Including sheltered workshops and facility-based day habilitation programs
- Help states comply with their obligations under *Olmstead* including around employment

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Goal and Scope of HCBS Rule

- To “ensure that individuals receiving services through HCBS programs have **full access to the benefits of community living**”
- To “further expand the opportunities for meaningful community integration in support of the **goals of the ADA and the Supreme Court decision in *Olmstead***”
- Applies to all HCBS authorities (1915(c), 1915(i), 1915(k)) as well as 1115 demo’s and 1915(b)(3) managed care.

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Characteristics of Home and Community Based Settings

An outcome oriented definition that focuses on the nature and quality of individuals’ experiences, including that the setting:

1. Is **integrated in and supports access to the greater community**;
2. Provides **opportunities to seek employment and work in competitive integrated settings**, engage in community life, and control personal resources
3. Is selected by the individual from among setting options, **including non-disability specific settings**

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HCBS Setting Characteristics (cont'd)

4. Ensures the individual receives services in the community to the **same degree of access** as individuals not receiving Medicaid HCBS
5. Ensures an individual's rights of **privacy, dignity, respect, and freedom from coercion and restraint**
6. Optimizes **individual initiative, autonomy, and independence** in making life choices
7. Facilitates **individual choice** regarding services and supports, and who provides them

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States Must Assess and Categorize All Settings

- 1) Meets all requirements of Rule (or can with modifications)
- 2) Can never meet requirements because it is an institution (nursing home, ICF, IMD or hospital)
- 3) Is presumed institutional
 - Setting is unallowable unless a state can provide through a "heightened scrutiny" process that the setting overcomes the institutional presumption and meets the rules' requirements

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Presumptively Institutional Settings

- Settings in facilities providing inpatient institutional services
- Settings on the grounds of, or adjacent to, a public institution
- Settings that **have the effect of isolating HCBS recipients from the broader community**. Characteristics may include:
 - Designed specifically for PWD or with specific disabilities
 - Comprised primarily of PWD and staff providing services
 - PWD are provided multiple types of services onsite
 - PWD have limited interaction with the broader community
 - Use restrictive interventions

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Settings that Isolate

- CMS has provided specific examples of residential settings that isolate, including:
 - Disability-specific farms
 - Gated disability communities
 - Residential schools
 - Congregate, disability-specific settings that are co-located and operationally related
- CMS has not provided specific examples of non-residential settings that isolate
 - But it has made clear **the “settings that isolate” guidance applies to non-residential settings too**

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CMS Guidance Re Non-Residential Settings

- Although facility and site-based day service settings are not per se prohibited, **they must be closely examined and may be unallowable “settings that isolate”**
 - States can to limit or even prohibit facility or site-based day services
 - Pre-vocational services need not be site-based settings; may be offered in the community
- Day services on/adjacent to private institutions not per se unallowable but may be “settings that isolate” (ones on/adjacent to public institutions are presumptively institutional)
 - **States can set higher standards and prohibit all day service settings on the grounds of any institution**

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CMS “Exploratory Questions” Regarding Non-Residential Settings

- Lays out specific questions regarding each required HCBS characteristic that states may (but are not required) to use in their assessment of non-residential settings
 - Questions include ones about geographic location, access to the broader community and transportation, opportunities for employment, and choice of non-disability specific settings
 - **For employment settings, do they “provide individuals with the opportunity to participate in negotiating his/her work schedule, break/lunch times and leave and medical benefits with his/her employer to the same extent as individuals not receiving Medicaid funded HCBS?”**

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CMS “Exploratory Questions” Regarding Non-Residential Settings (cont’d)

- The nature of day services (clinical/medical vs. rehabilitative vs. employment) as well as the duration (i.e., short-term vs. long-term services) may impact how to comply with the rules
- Whether the “right” service is being provided:
 - “For individuals seeking supports for competitive employment, the state should consider whether the right service is being appropriately provided to achieve its goal, including the duration of the service and the expected outcomes of the service, or whether the provision of a different type of service would more fully achieve competitive employment in an integrated setting for the individual”

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CMS “Exploratory Questions” Regarding Non-Residential Settings (cont’d)

- The “right” service (cont’d):
 - Referencing the Sept. 2011 CMS guidance that clarifies:
 - The expected outcome of prevocational services is competitive, integrated employment in the community at or above minimum wage.
 - Prevocational services are not a pre-requisite for supported employment services, and they must be time limited.

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Some Day Service Settings Will Need to Be Closely Examined

- As recognized in several state transition plans, some day service settings may have trouble meeting the HCBS characteristics required by the rules and/or may be presumptively institutional “settings that isolate” including:
 - Facility-based day programs
 - Pre-vocational services in sheltered workshops
 - Day habilitation

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CMS Guidance Re Heightened Scrutiny

- CMS review the heightened scrutiny request to determine:
 - Each and every one of HCBS characteristics is met;
 - People in the setting are not isolated from the greater community
 - Proximity to resources, activities and transportation
 - Varied schedules based on interests; not all activities provider organized
 - Activities that foster relationships with community members
 - Choice of setting (including non-disability specific setting)
 - Strong evidence that the setting does not have institutional qualities
 - Different practices, provider qualifications, no interconnectedness
 - Evidence that all participants in the setting are afforded the degree of community integration required by the rule

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Opportunities to Move State Systems Towards More Integrated Services

- Requirement for a choice of a “non-disability specific setting”
- Tiered standards that allow states to “close the front door” to legacy programs and focus new capacity on more individualized and integrated services
- States setting standards higher than the rule’s “floor” to further state goals and initiatives

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Choice of Non-Disability Specific Setting

- Rule requires states to offer individuals a choice of a “non-disability specific setting”
 - This requirement applies to both residential and non-residential settings
 - Examples include choice to live in one’s own home (residential) or to work in competitive, integrated employment (non-residential)
- CMS has made clear in recent approval letters that **states should assess their current capacity of non-disability specific settings and develop a plan to increase capacity** so all individuals have a real and meaningful choice

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Tiered Standards

- States have flexibility to set different standards for existing and new settings through their statewide transition plan
 - Existing settings must meet the minimum standards set forth in the HCBS rules but the state “may suspend admission to the setting or suspend new provider approval/authorizations for those settings”
 - State may set standards for “models of service that more fully meet the state’s standards” for HCBS and require all new service development to meeting the higher standards
 - The tiered standard can extend beyond the transition plan timeframe
 - This allows states to “close the front door” to settings/services
 - Numerous states are using tiered standards to move away from facility-based day and to focus on CIE

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Setting Standards that Align with the State’s Goals, Priorities and Vision

- HCBS rules set the floor for compliance
- CMS has made clear that states can set higher standards
- State should align their HCBS transition activities with their own state initiatives and other federal obligations:
 - State “Employment First” initiatives
 - State’s Workforce Innovation Opportunity Act plans
 - Activities to increase integrated, affordable housing (Section 811)
 - State’s *Olmstead* plans or settlement agreements

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Positive State Examples

- Some states are moving towards more individualized and integrated services through the HCBS transition process:
 - Moving from facility-based to all community-based day services
 - Transforming models for facility-based day habilitation (to a “hub-and-spoke” model)
 - Phasing out sheltered workshops
 - Setting size limits on residential settings
 - Requiring housing subsidies to be used in scattered site apartments
 - Expanding the capacity of competitive, integrated employment
 - Funding help bring providers into compliance through model changes
 - Aligning with *Olmstead* activities

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Themes from Recent CMS Letters

- Public Comment
 - Must give specific responses to comments (not just “considering it”) and show how public comment is being used to inform its STP
 - Public comment required for completed assessment and HS evidence
- Setting descriptions
 - STPs must include a complete list of settings used in each individual waiver with the # of settings and # of participants in those settings
- Systemic settings assessments
 - STP must crosswalk state standards to each HCBS requirement and note if in compliance, in conflict, or silent; must include plan to remediate when in conflict or silent

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Themes from CMS Responses (cont'd)

- Individual setting assessments
 - All settings must be adequately assessed; 100% of settings must be validated (provider self-assessments not enough); participant surveys must be tied to specific settings; must have criteria for on-site visits
 - **Reverse integration is not sufficient to comply with the community integration requirements**
 - All congregate settings, including group SE, must be evaluated
- Heightened scrutiny process
 - Location alone insufficient to identify all “presumptively institutional” settings; must have a process for identifying “settings that isolate;” “individual home” presumption not apply to congregate settings
 - That someone “chose” a setting does not make it HCBS

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Themes from CMS Responses (cont'd)

- Reimbursement rates and service definitions
 - Must ensure that **service definitions and provider reimbursement rates ensure capacity of, and incentivize, integrated settings** (esp. non-disability specific settings)
- Remediation
 - Must have specific timelines and cannot backload
 - Must have a clear process for transition out of non-compliant settings, including notice, informed choice of other settings, and a good transition process
- Ongoing monitoring
 - Must describe how licensure or other programs will include ongoing monitoring of compliance

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Status of State Plan Approvals

- A number of other states have received initial approval for their systemic assessment along with detailed letters of additional steps to be taken
 - As of September 12, this includes DE, IA, KY, OH and PA
- Tennessee is the only state to have received full approval. Highlights include:
 - Assessment and validation of all settings
 - Ongoing stakeholder input and engagement
 - Internal HS review before determining whether to submit to CMS
 - Using tiered standards to transform to community-based day services

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Discussion Questions

- Is your state considering restructuring day programs as part of its HCBS transition planning? What strategies are they using?
- Is your state focusing on competitive integrated employment as part of its HCBS transition planning? What strategies are they using?
- How is your state involving families, self-advocates and other stakeholders in your HCBS transition planning?

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USING THE HCBS SETTINGS RULE TO FURTHER *OLMSTEAD* COMPLIANCE

Title II of the ADA

- Prohibits discrimination by public entities in services, programs and activities
- Integration regulation requires administration of services, programs and activities **in the most integrated setting** appropriate
- Most integrated setting is one that enables people with disabilities to **interact with people without disabilities to the fullest extent possible**

***Olmstead v. L.C.*: Unjustified segregation is discrimination**

- S. Ct. held that ADA prohibits unjustified segregation of PWD and that public entities are required to provide community-based services when:
 - Such services are appropriate;
 - Affected persons do not oppose community-based treatment; and
 - Community-based treatment can be reasonably accommodated, taking into account the resources available to the entity and the needs of others receiving disability services
- Applies to all facilities, services, or programs funded/designed by the state, not just those directly operated by the state

What is an Integrated Setting?

- Integrated settings provide people with disabilities the **opportunity to live, work and receive services in the greater community**
 - Located in mainstream society
 - Offer access to community activities when & with whom a person chooses
 - Choice in daily life activities
 - Ability to interact with people w/o disabilities to the fullest extent possible
- Examples: supported employment in a mainstream job, scattered site supported housing
- **Note the ADA definition similar to the HCBS settings requirements.**

What is a Segregated Setting?

- Have **institutional qualities**, including:
 - Congregate settings with primarily or exclusively people with disabilities
 - Regimentation in daily activities, lack of privacy/autonomy, limits on ability to freely engage in community activities
 - Settings that provide for daytime activities primarily with other people with disabilities
- Examples: ICFs, nursing homes, adult care homes, sheltered workshops, segregated day programs
- Note that the language is similar to the HCBS regulations about “settings that isolate.”

Olmstead Application to Segregated Day Services

- ADA and *Olmstead* applies to **all types of services**, both residential and non-residential
 - Segregated setting under the ADA include those “that provide for daytime activities primarily with other people with disabilities”
 - Integrated settings under the ADA include those that provide people with disabilities the “opportunity to live, **work** and receive services **in the greater community**”
- Recent *Olmstead* litigation challenging states over-reliant on providing “employment-related services” in segregated settings (i.e., sheltered workshops) in Oregon and Rhode Island

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Day-related *Olmstead* Litigation

- *Lane v. Kitzhaber/US v. Oregon*:
 - DOJ and private plaintiffs alleged Oregon violating *Olmstead* by over-relying on sheltered workshops, individuals remaining in workshops for long periods instead of moving to real work, and youth-to-workshop pipeline.
 - Court rejected Oregon’s argument that *Olmstead* limited to residential segregation and found applies to all services, including employment-related
 - Settlement includes providing supported employment services to people transitioning from, or diverted from, sheltered workshops and “closing the front door” to sheltered workshops

Day-related *Olmstead* Litigation (*cont’d*)

- *US v. Rhode Island*:
 - DOJ alleged State violating *Olmstead* by over-relying on sheltered workshops and day habilitation, individuals remaining in workshops and day for long periods instead of moving to real work, and youth pipeline to segregated settings.
 - Expansion of supported employment placements to people currently in workshops and facility-based day programs and to students leaving high school
 - Benchmark of system average of at least 20 hours/ week of employment in integrated settings
 - “Wraparound” integrated non-work day services (e.g., mainstream recreational, social, educational, cultural and athletic activities) so an opportunity for 40 hours of integrated day services per week
 - Development of a cross-agency Employment First policy (including schools)
 - Provider support: conversion trust fund, institute and TA

Does *Olmstead* Require States to Provide a Choice of Segregated Services?

- Some parents have tried bringing *Olmstead* claims to stop closures of state-operated ICFs, citing the decision's language about choice
- Courts have consistently found, consistent with DOJ's interpretation, that the ADA and *Olmstead* require states to provide services in integrated settings and not an obligation to provide them in institutions or segregated settings.
- Courts have also found that there is no right to remain in a particular institution or segregated setting if a state chooses to close them.
- This same rationale would apply to segregated day settings.

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What is the Relationship Between the HCBS Rules and *Olmstead* Compliance?

- States can use the HCBS settings rules to further *Olmstead* compliance by rebalancing away from providing services in segregated settings and ensuring system capacity to provide all HCBS participants a choice of services in integrated settings.
- **BUT states' obligations under Medicaid (including the HCBS settings rules) and the ADA are separate and independent.**
 - A determination that a setting complies with the HCBS rules does not necessarily mean that it is an "integrated setting" under the ADA
 - CMS' approval of a state's transition plan does not necessarily mean that the state is in compliance with the ADA and *Olmstead*.
 - CMS has made this clear in all of its approval letters

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Discussion Questions

- Is your state engaged in any Olmstead planning or litigation related to day services?
- Has Olmstead been part of the conversation within your state about opportunities for competitive integrated employment for people with disabilities?

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WORKFORCE INNOVATION AND OPPORTUNITY ACT

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Workforce Innovation and Opportunity Act

- Goal is to increase employment of people with disabilities in integrated employment settings; attempts to significantly limit the use of 14(c), particularly for transition-age youth:
 - **Defines and prioritizes integrated employment** as work at or above minimum wage, with wages and benefits comparable to people without disabilities and fully integrated with co-workers without disabilities
 - **Limits use of sub-minimum wage.** Requires anyone under 24 to explore and try integrated employment before they can be placed in a sub-minimum wage setting; prohibits schools from contracting with sub- minimum wage providers; and requires at least annual engagement of anyone in sub-minimum wage setting

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WIOA (cont'd)

- Additional relevant provisions to increase access to integrated employment for people with disabilities:
 - Requirement for formal cross-agency cooperative agreement between voc. rehab., state IDD agency, and Medicaid agency
 - Requirement that at least 15% of voc. rehab. funds be used for pre-employment transition services
 - Definition of supported employment clarified to make clear that it is integrated, competitive employment
 - Post-employment support services extended from 18 to 24 months
 - Requirement that at least half of supported employment state grant funds used to youth (up to age 24) with most significant disabilities
- Recent final rules from DOL and DoEd

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WIOA Advisory Committee

- Created **Advisory Committee on Increasing Competitive Integrated Employment for Individuals with Disabilities**
 - Representatives include federal agencies (DOL, CMS, SSA, RSA), providers, national experts, representatives from national disability advocacy groups, and self-advocates
 - Charged with making recommendations about way to increase competitive integrated employment for people with significant disabilities and about use of 14(c) certificates for subminimum wage
 - Final report with findings, conclusions and recommendations sent to Congress and the US Labor Secretary September 15, 2016

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Advisory Committee Final Report

- **Overall Capacity Building.** In order to build more systemic capacity for CIE, there needs to be:
 - Guidance, policies and strategies to prioritize and align federal policies and funding for CIE
 - Data collection and analysis requirements for recipients of federal funding based on a common definition of CIE and outcomes
 - Funding initiatives to help agencies build CIE capacity, develop national standards of professional competence, and train professionals skilled in facilitating CIE
 - Oversight and direction provided by federal agencies as CIE is expanded

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Advisory Committee Final Report (cont'd)

- **Capacity Building for Youth.** For youth to effectively transition to adult employment there needs to be:
 - Early work experiences
 - Family involvement and support
 - Professional development and training
 - Systems integration for seamless transition
 - Available and transferable assistive technology

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Advisory Committee Final Report (cont'd)

- **Capacity Building Through Changes and Oversight of 14(c).** Recommendations include:
 - Congress amending the FLSA to allow for a multi-year, well-planned phase out of Section 14(c)
 - The Wage and Hour Division of the U.S. Department of Labor engaging in stronger oversight of the current use of 14(c) certificates
 - The federal government assisting states with building capacity of service systems to provide CIE services as alternatives to those provided under programs using a 14(c) certificate

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Advisory Committee Final Report (cont'd)

- **Building Capacity in the Marketplace.** Increased business and employer engagement is necessary to increase CIE through:
 - Increased and more effective outreach to businesses
 - Specific business-oriented professional development for employment services personnel
 - Incentives to create work experiences as preludes to employment
 - More accessible transportation
 - Hiring initiatives in high-growth industries, particularly healthcare
 - Additional outreach to federal contractors regarding the OFCCP Section 503 regulations which establish disability hiring goals
 - Revisions to federal tax incentives and credits available to employers who hire people with disabilities

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Advisory Committee Final Report (cont'd)

Capacity Building in Specific Federal Agencies. Increasing CIE will require partnerships and complementary actions among multiple federal agencies, including these activities:

- Establishment of a cross-agency working group to provide policy guidance and technical assistance on integrated day and wraparound service that complement CIE
- Demonstrating how the waiver of certain requirements in use of the Ticket-to-Work program will enable youth receiving SSI/SSDI to access services across systems that lead to CIE
- Developing a policy reform initiative designed to increase the number of SSI/SSDI beneficiaries in CIE and who are self-sufficient

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Advisory Committee Final Report (cont'd)

Increasing CIE Opportunities in the AbilityOne Program.

Reforming the AbilityOne® program so that it can create CIE opportunities on a broad scale will require:

- Amending the Javits-Wagner-O'Day Act (JWOD) to fully align the Act with modern federal disability law and policy goals by reforming the criteria for contract procurement selection and for program eligibility
- Research on current use of AbilityOne® in order to identify how the program is serving the target population and to determine steps for improving its ability to create CIE opportunities
- Evaluation of the implementation and impact of AbilityOne® reforms

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Discussion Questions

- What aspects of the final Committee Report would be useful to the SELN community if translated into shorter pieces?
- How is your state using WIOA to increase opportunities for competitive integrated employment? Have you seen it make a difference yet?

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Takeaways

- Recent federal policies – the HCBS rules, recent *Olmstead* enforcement, and WIOA – have created opportunities to transform states' IDD systems to better support integration, employment, and inclusion of people with disabilities.
- You need to think about how all of these policies can be aligned to push for the goal of increasing employment opportunities
- And this really is all about helping people with disabilities have a real and meaningful life . . .

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Closing Discussion: Ending Where We Started

- How do you best align and leverage all of these policies in your state to increase opportunities for competitive integrated employment?
- Are any of your states doing this? What strategies are you using?

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Resources

- HCBS Settings Rule resources:
 - www.hcbsadvocacy.org (sponsored by national advocates)
 - www.medicaid.gov/hcbs (Centers for Medicare & Medicaid Services)
- Olmstead resources:
 - www.ada.gov/Olmstead (Department of Justice)
- WIOA Resources
 - <https://www.dol.gov/odep/topics/wioa.htm> (Department of Labor)